Let's start with young investors and their investment strategy. Young investors should have at the core a savings plan. Learning to save is more important than learning to invest at this stage in life. A young person will likely try different investment strategies and lose money on most of them. But this is the time to experiment. Young investors have the luxury of time on their side. Mistakes are not large, because these investors have little money in the game and plenty of time to make up losses. A $5,000 loss on a $10,000 investment at age 25 is much easier to overcome than a $500,000 loss on a $1,000,000 investment at age 65.

As time passes, youthful dreams are gradually replaced by midlife realities. Careers are progressing, families are forming and growing, and daily life becomes predictable and routine. By midlife, people tend to have a good idea of their career potential and what their long-term earnings stream will be like. For the first time, people can envision how they might live in retirement and how they might refine their savings and investment plan to reach that goal.

Investors in their late fifties and early sixties are typically in their peak earning years and are starting to actively prepare for some form of retirement. Children are finished with school or close to it, and they hopefully have found jobs and started careers. During this time, people refocus their energy on those aspects of their personal lives that have been neglected while they were raising a family and plan to do what makes them happy; for many folks this means working less or not at all. By this time people should have accumulated enough retirement assets to be able to forecast a realistic retirement date, and their asset allocation should be reviewed and perhaps revised so that they can glide smoothly into the next stage of life.

Life is not forever. Portfolios tend to change as people enter their senior years. Investment decisions at this point may look beyond the grave. When people realize that they have enough money for the remainder of their life, they may consider investing a portion of the excess according to the needs and ages of their heirs. Ironically, this could mean that a portfolio becomes more aggressive than the one held currently.

Asset allocation is at the center of portfolio management in every phase of life. Younger investors will develop asset allocations from a perspective that's different from that of older investors because they are different, but that does not mean that young investors will have a more aggressive